

[FOUNDER TOOLKIT] PEOPLE & EQUITY TOOLKIT

The hardest / part is people.

Most startups don't die from bad products — they die from **broken founding teams**. This is how to choose who you build with, divide ownership fairly, and resolve the conflict that will come, before it ends the company.

HOW TO READ THIS TOOLKIT

Three layers / one founding team.

The research is blunt: most failures are people failures, not market failures. This toolkit moves in order — **form** the team well, **protect** it with clear ownership and agreements, then **run** it through the conflict that inevitably comes. You can’t skip a layer; each one assumes the one above is done.

LAYER 1	Who you build with	Form the team Choose & align	Choosing co-founders · rich vs. king · aligning motivations & roles
LAYER 2	Who owns what	Protect the team Equity & agreements	Equity splits · vesting · the founders’ agreement
LAYER 3	When it gets hard	Run the team Decisions, conflict & growth	Decision-making & deadlock · resolving conflict (expanded) · the first hires

LAYER 1 · WHO YOU BUILD WITH

Form / the team.

Who you choose as co-founders, and how aligned you are before you start, shapes everything downstream. The research is clear: most founding-team failures are baked in at this stage, not caused later.

Choosing co-founders

Rich vs. king

Aligning motivations & roles



TOOL 1.1 · CHOOSING CO-FOUNDERS

Choosing / co-founders

Your co-founder choice is the highest-stakes, least-reversible decision you'll make. Choose for complementary skill and aligned values, deliberately — not for comfort.

— WHAT IT IS

A co-founder is a multi-year, high-stress partnership with shared legal and financial fate. The research consensus: choose for **complementary skills** (you cover different critical functions), **shared values** (how you'll behave under pressure), and **aligned expectations** about commitment, money, and the future. The single most protective move is to have the hard conversations *before* committing — roles, equity, full-time timing, and “what if this doesn't work.”

— THE QUESTIONS IT ANSWERS

- ◇ Do our skills **complement** — or do we overlap and compete?
- ◇ Have we discussed **equity, roles, and who's CEO** openly?
- ◇ What has to happen for each of us to go **full-time**?
- ◇ If the idea fails, are we willing to **pivot together**?

— WHAT "GOOD" LOOKS LIKE

- ✓ Complementary skills covering the critical functions
- ✓ The hard conversations happened before committing
- ✓ Shared values, tested by a real project together
- ✓ Honest about commitment and personal runway

— WHAT NOT TO DO — AND WHY

Founding with friends or family for comfort. The counterintuitive research finding: teams of friends and family are *less* stable, with higher founder turnover, than teams of acquaintances or strangers. Comfort makes the hard conversations feel rude, so they get skipped — and the unspoken mismatches surface later, when the stakes and the damage are far higher.

Patrick Connolly

— TALK IT THROUGH FIRST · 5 OF YC'S 10

ROLES	Who does what · who's CEO?
EQUITY	How do we split it?
COMMIT	What triggers full-time?
IDEA	Will we pivot if it fails?
VALUES	What do we each want from this?

■ AEGIS EO

Aegis's three founders were chosen for **complementary coverage**, not friendship: one owned the EO/data science, one the insurance-domain and commercial relationships, one the integration engineering. Before incorporating, they worked the validation sprint together for two months — a **deliberate trial** that surfaced how they each handled pressure and disagreement before any equity was signed.

TOOL 1.2 · RICH VS. KING

Rich / vs. king

Founders want both wealth and control. Decades of data show those goals usually conflict — and knowing which you're optimising for should drive every later decision.

— WHAT IT IS

Wasserman's research on thousands of founders found a stark trade-off: founders who give up more equity — to attract co-founders, hires, and investors — build **more valuable companies**, but most often lose control, frequently replaced by a professional CEO. Founders who keep tight control tend to stay “king” of a smaller company. Very few are both **rich and king**. The point isn't which to pick — it's to **decide consciously**, because the choice silently governs equity, fundraising, hiring, and governance.

— THE QUESTIONS IT ANSWERS

- ◇ Am I optimising for **wealth** (rich) or **control** (king)?
- ◇ Does my co-founder want the same thing I do?
- ◇ Are our **equity and fundraising** plans consistent with that choice?
- ◇ Would I rather own more of a smaller company, or less of a bigger one?

— WHAT "GOOD" LOOKS LIKE

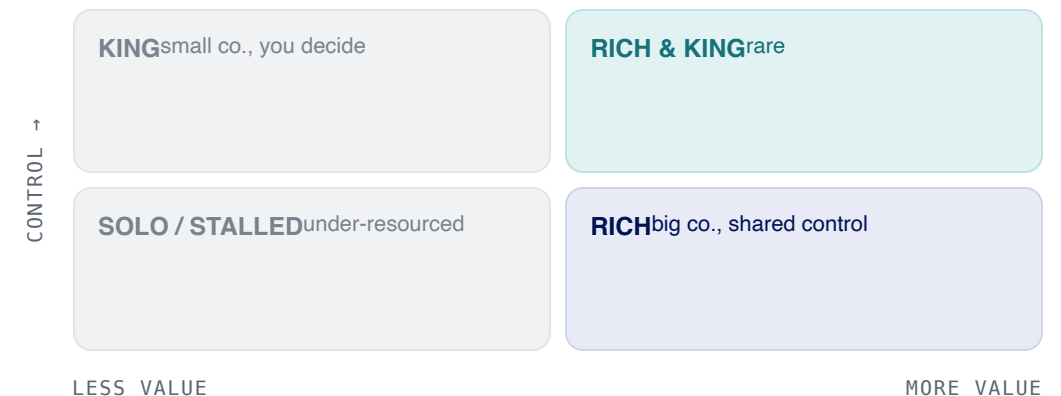
- ✓ A conscious, stated choice — not a default
- ✓ Co-founders aligned on the same priority
- ✓ Equity and funding decisions follow from it
- ✓ Revisited honestly as the company grows

— WHAT NOT TO DO — AND WHY

Assuming you can maximise both at once. The data shows rich-and-king is the rare exception, not the plan. Founders who refuse the trade-off tend to under-resource the company to keep control, then resent the dilution when reality forces it. Worse, two co-founders silently optimising for *different* answers — one for wealth, one for control — is a slow-motion collision.

Patrick Connolly

— THE TRADE-OFF



■ AEGIS EO

Aegis's founders chose **rich over king** deliberately and said so out loud: the goal was a large, category-defining EO-insurance business, which meant they expected to dilute through a seed and Series A and to recruit senior operators above some founders over time. **Naming it early** meant later dilution felt like the plan working — not a loss to resent.

TOOL 1.3 · ALIGNING MOTIVATIONS & ROLES

Aligning / motivations & roles

Most founder fights aren't about the issue at hand — they're about undefined lanes and unspoken motivations. Define who owns what, and surface what each founder actually wants.

— WHAT IT IS

Two things must be made explicit early. **Roles:** for each critical area, name one founder who owns the decision — ambiguous ownership is the most common source of recurring conflict. The practitioner rule: list every area the business needs, then assign each to whoever is best. **Motivations:** founders are driven by different mixes of wealth, control, impact, and lifestyle; left unspoken, these diverge silently. Aligning both prevents the slow drift where co-founders “wake up” years in with incompatible expectations.

— THE QUESTIONS IT ANSWERS

- ◇ For each critical area, is there **one** founder who owns it?
- ◇ Are we fighting over issues, or over **undefined lanes**?
- ◇ What does each founder actually **want** from this venture?
- ◇ How do we decide when we genuinely **disagree**?

— WHAT "GOOD" LOOKS LIKE

- ✓ Every critical area has one clear owner
- ✓ Lanes defined by who's best, not by ego
- ✓ Motivations surfaced and written down
- ✓ A known way to resolve genuine disagreement

— WHAT NOT TO DO — AND WHY

Leaving roles 'organic' because skills seem obvious. When founders have similar skills, they fight over the same ground (two technical founders clashing over architecture). When ownership is ambiguous, every decision becomes a negotiation. The fix is unglamorous but decisive: assign single-owner lanes early, even when it feels unnecessary among friends.

Patrick Connolly

— TWO FOUNDER OPERATING MODELS

EVERYONE VOTES Inclusive — but slow, doesn't scale

CLEAR LANES One owner per area — fast, scales

Fighting about everything
usually = undefined roles.

■ AEGIS E0

Aegis assigned clear lanes from day one: data-science founder owned model and provider decisions; commercial founder owned carrier relationships and pricing; engineering founder owned the integration build. When a dispute arose over imagery vendors, it resolved fast — **it was clearly one founder's call** — instead of becoming a three-way standoff.

LAYER 2 • WHO OWNS WHAT

Protect / the team.

Equity is the founding team's deepest fault line. The research shows ownership decisions made fast, equal, and permanent are a leading cause of conflict that escalates for years. Structure protects the relationship.

Equity splits

Vesting

The founders' agreement

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TOOL 2.1 · EQUITY SPLITS

Equity splits

How you divide ownership is the single most emotionally charged founding decision. Done fast and frozen, it becomes the resentment that ends teams. Treat it as dynamic, not a one-time handshake.

— WHAT IT IS

An equity split allocates ownership among founders. The research is alarming: **73% of teams split within a month of founding, usually equally and irrevocably** — and that early-frozen split is a conflict source that *escalates over time*, because founders overvalue early contributions and undervalue the years of work ahead. Three structuring principles from the research: **don't overestimate early value**, **build in accountability** (so equity tracks contribution), and **layer value over time** rather than fixing it at day one.

— THE QUESTIONS IT ANSWERS

- ◇ Are we splitting based on **future** contribution, or just early effort?
- ◇ Should our split be **static** or **dynamic** (contribution-based)?
- ◇ Does the split survive one founder doing far more later?
- ◇ Have we resisted the urge to split 50/50 just to **avoid the conversation**?

— WHAT "GOOD" LOOKS LIKE

- ✓ Split reflects expected long-term contribution
- ✓ Built-in accountability, not set-and-forget
- ✓ A hard but honest conversation, had in full
- ✓ Documented formally, with legal review

— WHAT NOT TO DO — AND WHY

The equal, irrevocable handshake. The classic cautionary case: two co-founders shake on 50/50, then one does most of the work while the other stays at their day job — and the frozen split breeds resentment that poisons the company. Equal isn't the same as fair.

Dividing the pie to dodge an awkward talk just defers the conflict to a moment when it's far more expensive.

Patrick Connolly

— THREE PRINCIPLES · HBS

- 1 Don't overestimate early value
- 2 Build in accountability
- 3 Layer value over time

73% split within a month —
most equal, most frozen.

■ AEGIS E0

Aegis avoided the frozen-handshake trap. Through the unpaid validation phase they tracked contributions informally, then set a **deliberately unequal split** reflecting role, risk, and time committed — not a reflexive three-way tie. Critically, they paired it with **vesting** (next tool), so the split rewarded the years ahead, not just the months behind.

TOOL 2.2 · VESTING

Vesting

Vesting means founders earn their equity over time, instead of owning it all on day one. It feels awkward to impose on people you trust — and it's the single most important protection for everyone, including you.

— WHAT IT IS

The industry standard is **four-year vesting with a one-year cliff**: nothing vests in the first year; at the one-year mark 25% vests at once; the rest vests monthly over the following three years. If a founder leaves early, their **unvested** shares return to the company. **Acceleration** clauses (single-trigger on acquisition; double-trigger on acquisition *plus* termination) protect founders in a sale. Investors expect to see vesting before they'll fund you — it signals commitment and a clean cap table.

— THE QUESTIONS IT ANSWERS

- ◇ Do all founders have **4-year vesting with a 1-year cliff**?
- ◇ What happens to **unvested** shares if a founder leaves?
- ◇ Do we have **acceleration** terms for an acquisition?
- ◇ Is it documented before we raise (investors will require it)?

— WHAT "GOOD" LOOKS LIKE

- ✓ Standard 4-year / 1-year-cliff on all founders
- ✓ Unvested shares return to the company on departure
- ✓ Acceleration terms understood and negotiated
- ✓ In place before fundraising, not bolted on after

— WHAT NOT TO DO — AND WHY

Skipping vesting because it feels like distrust. Without it, a co-founder who quits after six months keeps their full stake while the others build all the value for years — the “free-rider” problem that has sunk countless cap tables and killed fundraises. Vesting isn't a sign you distrust your co-founders; it's the professional standard that protects the ones who stay.

Patrick Connolly

— 4-YEAR / 1-YEAR CLIFF

YR 0–1	Cliff — nothing vests
YR 1	25% vests at once
YR 1–4	remainder vests monthly

Single-trigger: vests on sale.

Double-trigger: sale + termination.

■ AEGIS E0

All three Aegis founders signed identical **4-year / 1-year-cliff** terms at incorporation — founders included, not just future employees. It felt unnecessary among a trusting team, but it meant that if anyone walked early, **their unvested equity returned to the company** rather than sitting dead on the cap table. Their seed investor required it anyway; having it already done signalled a serious team.

TOOL 2.3 · THE FOUNDERS' AGREEMENT

The founders' / agreement

The founders' agreement is your team's prenup: a written record of who owns what, who decides what, and what happens if someone leaves — settled while everyone's still friends.

— WHAT IT IS

A founders' agreement is a binding contract among founders, separate from your public incorporation documents. The widely-taught framework covers four elements: **Roles & responsibilities** (who does what, titles), **Rights & rewards** (decision rights, board seats, equity), **Commitments** (the IP, capital, and time each founder contributes — and IP assignment to the company), and **Contingencies** (vesting, departures, deadlock, dispute resolution). Sign it before or right after incorporating — never wait for a conflict.

— THE QUESTIONS IT ANSWERS

- ◇ Are **roles, rights, commitments, and contingencies** all documented?
- ◇ Is all founder **IP assigned** to the company?
- ◇ Do we have a **deadlock** and dispute-resolution process?
- ◇ Did we sign it **before** trouble, not during it?

— WHAT "GOOD" LOOKS LIKE

- ✓ All four elements covered in writing
- ✓ IP cleanly assigned to the company
- ✓ Deadlock + dispute process defined in advance
- ✓ Reviewed by a startup lawyer; signed early

— WHAT NOT TO DO — AND WHY

Two opposite traps: no agreement, or one that requires unanimity on everything.

Skipping it (Forbes lists this among the top startup legal mistakes) leaves you litigating from memory. But over-correcting — requiring unanimous consent for every decision and omitting a deadlock clause — guarantees paralysis the first time founders disagree. Define consistent decision thresholds and a tie-breaker.

Patrick Connolly

— FOUR ELEMENTS · THE “PRENUP”

ROLES	Who does what
RIGHTS	Decisions, board, equity
COMMIT	IP, capital, time in
IF...	Vesting, exits, deadlock

■ AEGIS E0

Aegis's founders' agreement was signed days after incorporation. It assigned all pre-existing IP (the early models, the integration code) to the company — closing the gap that scares investors — and named a **deadlock procedure**: defined decision lanes first, and for true ties, a neutral advisor brought in to mediate rather than letting a stalemate freeze the company.

LAYER 3 · WHEN IT GETS HARD

Run / the team.

Conflict is not a sign the team is broken — it is guaranteed. What separates teams that survive from teams that don't is having a method for resolving it before resentment hardens. This layer is the method.

Decision-making & deadlock

Resolving conflict (expanded)

The first hires

3

TOOL 3.1 · DECISION-MAKING & DEADLOCK

Decision-making / & deadlock

Founders need a known way to decide — especially when they disagree. Without it, every hard call becomes a standoff, and indecision quietly does more damage than a wrong choice.

— WHAT IT IS

Two layers keep founder decisions moving. First, **lane-based authority**: routine calls belong to whoever owns that area — not everything needs a group vote. Second, an explicit **deadlock mechanism** for genuine ties on big, shared decisions: a designated tie-breaker by domain, a casting vote for the CEO on defined matters, or a neutral third party (advisor/mediator) for the rare existential split. The goal is to make disagreement *productive and fast*, not to eliminate it.

— THE QUESTIONS IT ANSWERS

- ◇ Which decisions are **one owner's call** vs. truly shared?
- ◇ What's our **tie-breaker** when we genuinely can't agree?
- ◇ Are we requiring **unanimity** on too much (and stalling)?
- ◇ Do we resolve disagreements, or let them **linger**?

— WHAT "GOOD" LOOKS LIKE

- ✓ Clear which decisions need a group call
- ✓ A pre-agreed tie-breaker for true deadlock
- ✓ Disagreements resolved, not deferred
- ✓ Speed valued — indecision treated as a cost

— WHAT NOT TO DO — AND WHY

Requiring consensus on everything. It feels fair and collegial, but unanimous-consent-for-all is how founder teams freeze: one holdout blocks every move, and the company stalls while competitors ship. Decision-by-committee with no tie-breaker is not caution — it's a guarantee of paralysis. Define thresholds and a deadlock path in advance.

— DECISION ROUTING

ROUTINE	Lane owner decides
SHARED	Discuss → owner or CEO calls it
TRUE TIE	Pre-agreed tie-breaker / mediator

■ AEGIS E0

Because Aegis had defined lanes (Tool 1.3) and a deadlock clause in its founders' agreement (Tool 2.3), most decisions never escalated. For the rare genuinely-shared, genuinely-split call, they'd pre-agreed to bring in a **neutral advisor to mediate** rather than let a tie freeze the company — turning potential standoffs into a defined, fast process.

TOOL 3.2 · RESOLVING CONFLICT

Resolving / conflict

Conflict between founders is inevitable; how you handle it decides whether the company survives it. The mechanics on the next page are the most reliable method for resolving it without destroying the relationship.

— WHAT IT IS

The data is sobering: **43% of entrepreneurs eventually part ways over internal conflict** — most often over direction (71%) or values (18%). Yet conflict itself isn't the danger; *avoided* conflict is. Teams fail both from too much fighting **and** from too little — burying disagreement until it erupts. The reliable pattern: catch friction early, address it directly and privately, own your part first, and have a structured method for repair. The next page lays out that method in full.

— THE QUESTIONS IT ANSWERS

- ◇ Are we surfacing friction **early**, or letting it fester?
- ◇ When we disagree, do we go **directly** to each other — privately?
- ◇ Do we own **our own** contribution before naming theirs?
- ◇ Do we have a **repeatable method** for repair, not just venting?

— WHAT "GOOD" LOOKS LIKE

- ✓ Regular, candid founder check-ins built into the rhythm
- ✓ Issues raised directly and privately, not via the team
- ✓ Self-examination before accusation
- ✓ Outside help sought before resentment hardens

— WHAT NOT TO DO — AND WHY

Avoidance — the quiet killer. The most dangerous founder conflict isn't the loud kind; it's the unspoken kind. Co-founders “manage” each other instead of collaborating, factions form in the team, decisions slow, and resentment calcifies until the relationship is unrecoverable. If something feels slightly off between founders, that *is* the signal — address it while it's still cheap.

Patrick Connolly

— THE CONFLICT-RESPONSE SPECTRUM

ESCAPE avoid, deny, walk away	RESOLVE overlook · talk it out · negotiate · mediate	ATTACK blame, threaten, litigate
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Both ends damage the company.
Aim for the middle, early. →

■ AEGIS E0

Aegis built a standing **weekly founder check-in** separate from work reviews — a closed-door conversation about the partnership itself: where are we aligned, where are we stuck, what's going unsaid. When the commercial and engineering founders clashed over pilot scope, they ran the method on the next page rather than letting it smoulder. **Catching it early made it an hour's conversation, not a company-ending rift.**

TOOL 3.2 · EXPANDED · THE APPROACH

The method / raising it the right way.

A reliable, repeatable sequence for working through a serious disagreement. Use it in order — decide whether it even needs addressing, prepare yourself first, raise it directly, and repair properly when you're wrong. The aim throughout is restoration of a working relationship, not winning. (Follow-through and escalation on the next page.)

1 First, decide: overlook or address?

Not every friction needs a confrontation. Discernment comes before action.

- ◇ **Overlook** minor, one-off irritations — a deliberate choice to let it go, not silent resentment stored up for later.
- ◇ **Address** anything that is damaging the relationship, will recur, or that you can't genuinely release. If it'll keep bothering you, it's not overlooked — raise it.

2 Examine your own part first

Before naming what they did, get honest about your own contribution.

- ◇ What did I do — or fail to do — that created or worsened this?
- ◇ What unspoken want of mine is driving my reaction?
- ◇ Name your own part *out loud, first*. It disarms defensiveness and makes the other person far more able to hear you.

3 Go directly, and privately

Raise it with the person, one-on-one — not to the team, not by hint.

- ◇ In person, calm setting, outside the heat of the moment.
- ◇ Never recruit allies or air it to the team first — that forms factions and makes repair far harder.
- ◇ Speak candidly **and** with care — the truth, delivered in a way that builds the person up rather than tears them down.

4 Make a real apology when you're wrong

A complete repair, not a grudging “sorry if...”. Seven moves:

- 1 **Address** everyone affected.
- 2 **Avoid** “if,” “but,” “maybe” — they erase the apology.
- 3 **Admit** specifically what you did.
- 4 **Acknowledge** the impact on them.
- 5 **Accept** the consequences; then **Alter** your behaviour, and **Ask** to repair — allowing time.

TOOL 3.2 · EXPANDED · FOLLOW-THROUGH

The method / making it stick, and escalating well.

Once you've raised it and repaired what you can, resolution has to be made real and held to — and if direct repair genuinely fails, escalation should move one careful rung at a time, never straight to the top.

5 Treat resolution as a commitment, not a feeling

When something is genuinely resolved, four standing promises make it real:

- ◇ I won't **dwell** on it.
- ◇ I won't **bring it up** and use it against you later.
- ◇ I won't **tell others** about it to diminish you.
- ◇ I won't let it **stand between us** or our working relationship.

6 Negotiate a real split on interests, not positions

For substantive disagreements about a decision, work the underlying interests:

- ◇ **Prepare** — the facts, your real interest, their likely one.
- ◇ **Affirm** the relationship before tackling the issue.
- ◇ **Understand** their underlying interest, not just their stated position.
- ◇ **Search** for options that serve both; then **Evaluate** them objectively against shared criteria.

7 Escalate only if direct repair fails — in this order

Stay at the lowest rung that works. Each step up costs more and risks more damage; don't jump to the top.

RUNG 1 · JUST THE TWO OF YOU

Direct, private conversation using the steps on the previous page. Most conflicts should end here.

RUNG 2 · A NEUTRAL THIRD PARTY

Bring in a trusted advisor, mentor, or coach to help you both hear each other and find resolution.

RUNG 3 · FORMAL MEDIATION

A professional mediator (or arbitration, per your agreement) for serious, stuck disputes — before lawyers.

LAST RESORT · CLEAN SEPARATION

If trust or vision is unrecoverable, part ways professionally. Vesting and the agreement make this clean, not catastrophic.

TOOL 3.3 · THE FIRST HIRES

The first / hires

The boundary of a founders-only team is knowing when — and when not — to bring in the first non-founder. Hire too early and you burn cash and culture; the right hire multiplies output, the wrong one just relieves stress.

— WHAT IT IS

The first hire is warranted when there's a **repeatable task** ready to delegate, **validated demand** straining your capacity, and enough runway to absorb the fully-loaded cost (often quoted as ~12–18 months of runway remaining after the hire). The right early hire is an **owner-minded force multiplier** who thrives in ambiguity — not someone needing a defined job description yet. Until then, founders should do the work themselves; doing it first is how you learn what to hire for.

— THE QUESTIONS IT ANSWERS

- ◇ Is there a **repeatable task** ready to hand off — or just chaos?
- ◇ Is demand **validated** and exceeding our capacity?
- ◇ Do we have **runway** to absorb the fully-loaded cost?
- ◇ Am I hiring to **multiply output** — or to relieve burnout?

— WHAT "GOOD" LOOKS LIKE

- ✓ A clear, repeatable role to delegate
- ✓ Demand validated before adding headcount
- ✓ Runway protected (12–18 months after the hire)
- ✓ An owner-minded hire who thrives in ambiguity

— WHAT NOT TO DO — AND WHY

Hiring from burnout, pressure, or a fresh raise. Headcount is a vanity metric — it feels like progress without moving you toward fit. Founders hire early to relieve overwhelm, to spend new funding, or because investors equate headcount with momentum. The research on premature scaling is clear: teams that over-hire before validation fail far more often. If the real problem is loneliness or overload, you may need a *co-founder* or focus — not a hire.

Patrick Connolly

— HIRE? · THE TEST

HIRE Repeating task + demand + runway

DON'T Burnout, FOMO, fresh cash, status

Headcount is a vanity metric.
Output multiplied is the goal.

■ AEGIS E0

Through the pilot, Aegis stayed founders-only on purpose — resisting the post-validation urge to staff up. They defined the first hire in advance by the bottleneck, not by burnout: a **compliance/integration specialist**, to be hired only once a second carrier created a genuinely repeatable workflow. **The trigger was repeatability and runway — not the feeling of being stretched thin.**

PUTTING IT TOGETHER

Build the team / like it has to last.

Most startups die from people problems, not market problems. The three layers stack: choose the right people, protect the relationship with clear ownership and agreements, then run it with a real method for the conflict that will come. Do the hard, awkward work early — it is a thousand times cheaper than the alternative.

Layer 1

Form

Choose for complementary skill and shared values. Decide rich vs. king. Define lanes and motivations.

Layer 2

Protect

Split equity honestly, vest it, and write the founders' agreement — while everyone is still friends.

Layer 3

Run

Decide fast, resolve conflict by method not avoidance, and hire only when the work is truly ready.

The point

Last

The awkward conversation today prevents the company-ending rift later. Protect the relationship on purpose.

THE EVIDENCE BASE

Sources / & further reading.

This toolkit favours primary and peer-reviewed sources. The “what not to do” guidance is anchored in research, not opinion. The conflict-resolution method draws on a well-developed reconciliation practice, presented here as secular operating mechanics. Aegis EO is a fictional teaching venture; the cautionary patterns (the equal-handshake split, the free-rider departure) are drawn from the cited literature.

The Founder’s Dilemmas (2012)

Noam Wasserman, Princeton / HBS. Decade of research on ~10,000 founders. The 65%-people-problems finding, equity-split timing, friends-and-family instability.

Structuring Equity Splits (HBS)

HBS Startup Guide; Shikhar Ghosh & Wasserman/Hellmann study of 3,700 founders. Don’t overestimate early value; build accountability; layer over time.

Dynamic equity (Slicing Pie)

Mike Moyer. Contribution-based equity for the pre-funding phase; freeze before raising.

Co-founder conflict data

Embroker / industry surveys: 43% of teams part ways over conflict; 71% over direction, 18% over values.

Founder conflict in practice

Garry Tan / Initialized Capital: define lanes to stop recurring fights; resolve don’t defer; the ‘too little conflict’ failure mode.

Rich vs. King (HBR 2008)

Noam Wasserman, *Harvard Business Review* (peer-reviewed; PubMed-indexed). The wealth-versus-control trade-off.

Vesting standards

Carta. The 4-year / 1-year-cliff norm, acceleration (single/double trigger), clawback; investor expectations.

Founders’ agreements

HBS Startup Guide four-element framework (Roles, Rights, Commitments, Contingencies); YC’s 10 co-founder questions.

Conflict-resolution mechanics

Established reconciliation practice: the response spectrum, self-examination, direct private approach, structured apology, forgiveness-as-commitment, interest-based negotiation, staged escalation.

Premature scaling / first hires

Startup Genome (3,200 startups): 74% fail from premature scaling. First-hire timing: repeatable task + validated demand + runway.